UNIT-V

Law of copy rights: Fundamentals of copy right law, originality of material, rights of reproduction, rights to perform the work publicly, copy right ownership issues, copy right registration, notice of copy right, international copy right law

Law of patents: Foundation of patent law, patent searching process, ownership rights and transfer. Patent law, intellectual property audits

Law of copy rights

- Copyright is a **legal right** given to the **creator of an original work**.
- It protects the creator from **unauthorized copying, use, or distribution** of their work.

In simple words:

👉 *Copyright means "the right to copy" — only the owner can legally copy or allow others to copy the work.*

Fundamentals of copy right law

What types of works are protected?

Copyright protects **original intellectual creations**, such as:

- 📚 Literary works – books, notes, articles, computer programs
- 🎵 Musical works – songs, compositions
- 🎨 Artistic works – drawings, paintings, photographs, diagrams
- 🎬 Cinematographic films – movies, videos
- 🎙️ Sound recordings – audio, podcasts
- 💻 Software and databases

⚠️ **Ideas are not protected — only the expression of ideas is protected.**

What rights does a copyright owner get?

The owner has **exclusive rights** to:

- Reproduce (copy) the work
- Distribute or sell copies
- Perform or communicate the work to the public
- Make translations or adaptations
- Store the work electronically

No one can do these legally **without permission** of the copyright owner.

How is copyright obtained?

Copyright is **automatic**.

✔ The moment an original work is created and fixed in a tangible form (written, recorded, saved, etc.), it is protected.

✔ Registration is **not compulsory**, but it is useful as **legal proof**.

Duration of copyright

Generally:

•For literary, artistic, musical works:

👉 **Lifetime of the author + 60 years** (as per Indian Copyright Act, 1957)

•For films, sound recordings, government works:

👉 **60 years from the year of publication**

After this period, the work enters the **public domain** (free for all to use).

What is infringement of copyright?

Copyright infringement occurs when someone:

- Copies, uploads, sells, or uses a work
- Without permission
- In a manner not covered under exceptions

Examples:

- Pirated books/movies
- Using images from the internet without permission
- Reproducing notes and selling them

What is “fair dealing / fair use”?

The law allows limited use **without permission** for:

- Research and private study
- Education and classroom teaching
- Criticism and review
- Reporting current events

This is called **fair dealing** (India) / **fair use** (some other countries)

Importance of copyright law

- Protects creators’ moral and economic rights
- Encourages innovation and creativity
- Prevents plagiarism and piracy
- Supports education, research, and industry

Originality of material

- **Originality of material** means that the content, idea, or work is **created independently by an author** and is **not copied** from existing sources.
- An original work shows the **author's own intellectual effort, creativity, or skill**, even if it is inspired by earlier works.
- Originality **does not require something completely new to the world**; it requires that the work **originates from the creator** and is not a direct imitation or reproduction.

Key points of originality

1.Independent creation

The author must create the work by their own effort, not by copying.

2.Minimum level of creativity

The work should involve some intellectual input (selection, arrangement, interpretation, or expression).

3.Expression, not just ideas

Ideas, facts, and formulas are not protected—but the **way they are expressed** is original.

4.Not necessarily novel

A work can be original even if a similar work already exists, as long as it was **not copied**.

Examples

- ✓ Writing your own explanation of the first law of thermodynamics → **Original**
- ✓ Preparing lecture notes in your own structure and wording → **Original**
- ✗ Copy-pasting from a textbook or website without change → **Not original**
- ✗ Rewriting with only minor word changes → **Still not original (plagiarism)**

Importance of originality

- It is the **basis of intellectual property rights** (copyright, patents, etc.).
- It ensures **academic integrity** and prevents plagiarism.
- It promotes **innovation, critical thinking, and credibility**.

Right of Reproduction

- The **Right of Reproduction** is one of the **basic economic rights in Intellectual Property Law**, especially under **copyright**.

It means:

👉 **Only the owner of the work has the legal right to make copies of that work or to allow others to make copies.**

What does “reproduction” mean?

Reproduction = making copies of a protected work, in any form, such as:

- Printing a book or notes
- Photocopying pages
- Downloading or saving a PDF
- Recording music
- Copying software
- Scanning images
- Storing a work digitally

Even **temporary or partial copies** can count as reproduction.

- **Who owns this right?**

Normally, the **creator/author** (or an organization they assign it to, like a publisher) owns the right of reproduction.

Only they can legally:

•Make copies

•Permit others through a **license**

•Sell or distribute reproduced copies

Why is this right important?

It allows the creator to:

•Control how their work is used

•Prevent unauthorized copying (piracy)

•Earn money from their work

Without this right, anyone could freely copy books, movies, research papers, software, etc.

Simple examples

- ❌ A student photocopying and selling a full textbook without permission → **Violation of reproduction right**
- ✅ A publisher printing copies after signing a contract with the author → **Legal reproduction**
- ✅ A teacher using a small portion under “fair dealing/fair use” → **May be allowed exception**

Right to Perform the Work Publicly

- In **copyright law**, the *right to perform the work publicly* means that the **copyright owner alone has the legal authority to present, show, play, or act out their work in front of the public**.
- Anyone else must take permission (license) unless a legal exception applies.

What does “perform publicly” mean?

A work is considered **publicly performed** when it is:

•Done **in a place open to the public** (college auditorium, classroom, cinema hall, seminar, cultural event, hotel, park, etc.), **or**

•Transmitted or shown **to the public by any means** (TV broadcast, radio, live stream, Zoom webinar, loudspeakers, etc.).

So, it is not limited to a stage performance — even **playing a recorded song or screening a movie** to a group can count.

🔹 What kinds of works does this right apply to?

The public performance right mainly applies to:

- 🎵 **Musical works & sound recordings** (songs, background music)
- 🎭 **Dramatic works** (plays, skits, dance, mime)
- 🎬 **Cinematograph films** (movies, documentaries)
- 📖 **Literary works** (public recitation, poetry reading, storytelling)

Examples

- Playing a movie in a **college seminar hall** → public performance
- Singing a copyrighted song in a **public event** → public performance
- Playing background music in a **restaurant/shop** → public performance
- Streaming a concert on **YouTube Live** → public performance
- Staging a drama written by someone else → public performance

All of the above normally **require permission or a license** from the copyright owner.

- **What the copyright owner can do**

The owner may:

•Perform the work themselves

•Allow others to perform it through a **license**

•Collect **royalties**

•Stop unauthorized performances (legal action)

- **Educational note (important for colleges)**

Some limited performances are allowed under **fair dealing / educational exceptions** (e.g., during bona-fide classroom teaching), but **public events, fests, seminars, or screenings usually need permission**.

copy right ownership issues

What is copyright ownership?

Copyright ownership means **who legally owns the rights** over a creative work.

The owner has exclusive rights to:

- Reproduce the work
- Distribute it
- Perform or display it
- Make adaptations/derivative works
- License or assign it to others

Examples of works: books, lecture notes, research papers, software, music, drawings, videos, photographs.

Who is the first owner of copyright?

- **(a) General rule – The creator is the first owner**

The **author/creator** of the work is normally the **first copyright owner**.

Example:

A teacher writes a textbook → the teacher is the first owner.

- **(b) Employment (work made in course of employment)**

If a work is created **during employment under a contract of service**, the **employer becomes the first owner**, unless there is an agreement stating otherwise.

Examples:

•A software engineer writing code for a company

•A journalist writing for a newspaper

Ownership → Employer (by default)

⚠️ Important issue:

Many disputes arise when there is **no clear employment contract** defining copyright ownership.

🔹 (c) Commissioned works

If a person creates a work **on payment/commission**, ownership depends on the type of work and the agreement.

Examples:

•Photographer hired for a wedding

•Designer hired to make a logo

Without a written agreement, **ownership may remain with the creator**, while the client only gets limited usage rights.

⚠️ Major ownership issue:

People often assume “I paid for it, so I own it” — legally, this is **not always true**.

- **(d) Government works**

If a work is made by or under the direction of the government, **the government is the first owner**.

Example: Government reports, census publications.

- **(e) Joint authorship**

When two or more people jointly create a work, they become **co-owners**.

Issues that arise:

•Who can license the work?

•How are profits shared?

•Can one owner sell without consent?

Copy right registration

- **Copyright registration** is the legal process through which an author or creator officially records their original work with the government authority (in India, the **Copyright Office**, Department for Promotion of Industry and Internal Trade – DPIIT).
- It provides legal recognition and proof of ownership over creative works.

1. What is Copyright?

Copyright is a form of **Intellectual Property Right (IPR)** that protects **original literary, artistic, musical, and dramatic works**, as well as **cinematograph films, sound recordings, and computer software**.

Examples:

- Books, notes, research papers
- Software programs and databases
- Paintings, drawings, photographs
- Songs, music, lyrics
- Films and sound recordings

2. Meaning of Copyright Registration

- Copyright registration is the **official entry of a creative work in the Register of Copyrights**.
- Though copyright protection **exists automatically from the moment of creation**, registration acts as **strong legal evidence** in case of disputes.

3. Why Copyright Registration is Important

1.Legal Proof of Ownership

Registration serves as prima facie evidence in courts.

2.Protection Against Infringement

Helps the owner take legal action against copying, piracy, or misuse.

3.Exclusive Rights

Gives the creator exclusive rights to:

1. Reproduce the work
2. Distribute copies
3. Perform or display the work
4. License or sell the work

4.Commercial Benefits

Registered works can be licensed or assigned for royalties.

5. Global Recognition

Registration helps in claiming protection in other countries under international treaties like the **Berne Convention**.

4. Works Eligible for Copyright Registration

- **Literary works** – books, articles, computer programs
- **Dramatic works** – plays, scripts
- **Musical works** – compositions, lyrics
- **Artistic works** – paintings, drawings, photographs, logos
- **Cinematograph films**
- **Sound recordings**

5. Copyright Registration Process (India)

Step 1: Filing the Application

- Application filed online at the Copyright Office website
- Separate application for each work
- Details of author, owner, and nature of work submitted

Step 2: Diary Number Issued

- A **Diary Number** is generated as acknowledgment

Step 3: Waiting Period (30 Days)

- Time given for objections, if any
- If objections arise, a hearing is conducted

Step 4: Examination

- Copyright examiner verifies the application and documents

Step 5: Registration Certificate

If approved, the work is entered into the Register of Copyrights Certificate of Registration is issued

6. Duration of Copyright Protection

•**Literary, artistic, musical, dramatic works**:
Lifetime of author + 60 years (India)
•**Films and sound recordings**:
60 years from the year of publication

7. Rights of the Copyright Owner

•Right to reproduce
•Right to publish
•Right to communicate to the public
•Right to make adaptations
•Right to assign or license the work

8. Copyright Infringement

Infringement occurs when a protected work is used **without permission** of the copyright owner.
Remedies include:
•Injunction
•Damages
•Seizure of infringing copies
•Criminal penalties in severe cases

NOTICE OF COPY RIGHT

What is a Copyright Notice?

A **copyright notice** is a statement placed on a work to inform the public that the work is **legally protected by copyright** and to identify the **owner of the copyright**.

It acts as a **warning** that the work cannot be copied, distributed, or used without permission.

Standard Format of a Copyright Notice

A copyright notice generally consists of **three essential elements**:

1.Copyright symbol ©

(or the word *Copyright* or abbreviation *Copr.*)

2.Year of first publication

3.Name of the copyright owner

📌 **Example:** a published work : © 2025 Dr. Jasmin Nerella

For unpublished works: Copyright © 2025 Dr. Jasmin Nerella

Where is Copyright Notice Used?

Copyright notices are commonly found on:

- Books and journals
- Research papers and theses
- Software programs
- Websites and blogs
- Music recordings
- Films and videos
- Photographs and artworks

📌 Usually placed at:

- Title page or verso of a book
- Footer of a website
- Opening or closing credits of a film

Purpose of a Copyright Notice

The copyright notice serves several important purposes:

- **Informs the public** that the work is protected
- **Identifies the copyright owner**
- **Prevents innocent infringement** (people cannot claim they didn’t know)
- **Acts as legal evidence** in copyright disputes
- **Encourages respect for intellectual property**

Is Copyright Notice Mandatory?

❌ **No, it is not mandatory** in most countries today.

✓ Under the **Berne Convention**, copyright protection is:

- **Automatic**
- **No registration or notice required**

⚠ However, **using a copyright notice is highly recommended** because it strengthens legal protection and awareness.

Legal Importance of Copyright Notice

- Helps prove **ownership** in court
- Removes the defense of “innocent infringement”
- Useful in claiming **damages** in legal cases
- Acts as a deterrent against unauthorized use

Copyright Notice vs Copyright Registration

Aspect	Copyright Notice	Copyright Registration
Mandatory	❌ No	❌ No (but recommended)
Cost	Free	Fee required
Purpose	Public warning	Legal proof
Protection	Informational	Strong legal enforcement

International Recognition

Thanks to international treaties like:

- **Berne Convention**
- **TRIPS Agreement**

A properly displayed copyright notice is **recognized worldwide**, even though protection exists without it.

Common Misconceptions

❌ "No copyright notice means free to use" → **False**

❌ "Copyright starts only after notice" → **False**

✓ Copyright exists **as soon as the work is created**

Short Exam-Oriented Definition

Copyright notice is a declaration placed on a work indicating that the work is protected by copyright and identifying the copyright owner.

International Copy Right Law

1. Meaning of International Copyright Law

International Copyright Law refers to the **set of international treaties, conventions, and agreements** that protect **literary, artistic, and creative works across national borders**.

📌 Since **copyright is territorial** (each country has its own law), international copyright law ensures that:

- A work created in **one country** is protected in **other countries**
- Authors are not required to register their works separately in every country

2. Need for International Copyright Protection

International copyright protection is necessary because:

- Creative works are easily **copied and distributed globally**
- National laws alone **cannot protect works abroad**
- Authors, artists, publishers, and software creators need **uniform minimum protection**
- Encourages **international cultural exchange and creativity**

3. Key Principles of International Copyright Law

Most international treaties are based on the following core principles:

a) National Treatment

- A country must give **foreign authors the same protection** as it gives to its own nationals

Example: An Indian author in France gets the same copyright protection as a French author.

b) Automatic Protection

- Copyright protection is **automatic**
- **No registration or formalities** are required

c) Independence of Protection

- Protection in one country is **independent** of protection in the country of origin

d) Minimum Standards of Protection

- Treaties prescribe **minimum rights and duration**, which member countries must follow

4. Major International Copyright Treaties and Conventions

4.1 Berne Convention for the Protection of Literary and Artistic Works (1886)

Purpose

The **foundation of international copyright law**.

Protects

- Literary works (books, articles, lectures)
- Artistic works (paintings, sculptures)
- Musical works
- Cinematographic works
- Computer programs (treated as literary works)

Key Principles

National treatment

Automatic protection

No formalities

Minimum Term of Protection

Life of the author + 50 years

(many countries, including India, provide life + 60 years)

📌 **India is a member of the Berne Convention**

4.2 Universal Copyright Convention (UCC), 1952

Purpose

•Created as an alternative to Berne for countries unwilling to meet strict standards

Key Features

•Allowed use of **© symbol**

•Required fewer obligations than Berne

📌 Today, its importance has **greatly reduced** due to widespread Berne membership.

4.3 Rome Convention (1961)

Purpose

Protects **related (neighbouring) rights**

Protects

•Performers (actors, musicians)

•Producers of phonograms

•Broadcasting organizations

📌 Complements the Berne Convention

4.4 TRIPS Agreement (1995)

Full Form

Trade-Related Aspects of Intellectual Property Rights

Administered by

World Trade Organization (WTO)

Importance

- Makes copyright protection **enforceable through trade law**
- Binding on all WTO member countries

Protects

- Copyright and related rights
- Computer programs
- Databases

Key Features

- Incorporates Berne Convention standards (except moral rights)
- Strong **enforcement mechanisms**
- Dispute settlement through WTO

📌 TRIPS significantly strengthened international copyright protection.

4.5 WIPO Copyright Treaty (WCT), 1996

Purpose

To address **digital and internet-based works**

Protects

- Software
- Online literary and artistic works
- Digital transmissions

Key Provisions

- Protection against **unauthorized digital copying**
- Rights of distribution and communication to the public

4.6 WIPO Performances and Phonograms Treaty (WPPT), 1996

Purpose

Strengthens rights of:

- Performers
- Producers of phonograms in the digital environment

5. Role of WIPO in International Copyright Law

WIPO (World Intellectual Property Organization):

- Administers major copyright treaties
- Promotes harmonization of copyright laws
- Assists developing countries
- Encourages protection of creativity worldwide

📌 India is a member of WIPO.

6. Enforcement of International Copyright Law

Although treaties exist:

- Enforcement is carried out through **national courts**
- Countries must modify domestic laws to comply with treaties
- TRIPS provides **strong dispute resolution mechanisms**

7. Limitations of International Copyright Law

- Differences in national laws still exist
- Enforcement varies between countries
- Digital piracy remains a major challenge

8. Conclusion

International copyright law plays a crucial role in:

- Protecting creators globally
- Encouraging creativity and innovation
- Facilitating global trade in creative works

Through treaties like the **Berne Convention, TRIPS, and WIPO Treaties**, a balanced system of protection has been established while respecting national sovereignty.

Law of Patents

Meaning of a Patent

- A **patent** is a statutory right granted by the government to an inventor for an invention that is **new, involves an inventive step, and is capable of industrial application**.
- It gives the inventor the **exclusive right** to make, use, sell, or license the invention for a limited period, in exchange for **public disclosure** of the invention.

👉 In India, patents are governed by the **Patents Act, 1970** (as amended).

Objectives of Patent Law

The law of patents aims to:

- Encourage **innovation and technological advancement**
- Reward inventors for their **creative effort**
- Promote **public disclosure** of inventions
- Support **economic growth and industrial development**
- Prevent **unauthorized exploitation** of inventions

Governing Law

- **India**: The **Patents Act, 1970** (amended in 1999, 2002, and 2005)
- **International**:
  - TRIPS Agreement (WTO)
  - Paris Convention
  - Patent Cooperation Treaty (PCT)

What Can Be Patented? (Patentable Subject Matter)

An invention must satisfy **three essential conditions**:

a) Novelty

- The invention must be **new**
- It should not be known to the public anywhere in the world before the filing date

b) Inventive Step (Non-obviousness)

- The invention must not be obvious to a person skilled in the art
- It should involve **technical advancement or economic significance**

c) Industrial Applicability

- The invention must be capable of being **made or used in an industry**

Non-Patentable Inventions

Examples include:

- Laws of nature and scientific theories
- Mathematical methods and algorithms
- Business methods and computer programs *per se*
- Methods of agriculture or horticulture
- Medical and surgical methods
- Discoveries of natural substances
- Inventions related to atomic energy

Types of Patents

- **Product Patent** – Protection for the product itself
- **Process Patent** – Protection for the method of manufacturing
- **Ordinary Patent**
- **Patent of Addition**
- **Convention Patent**
- **PCT International Application**

Patent Application and Grant Procedure

1. Filing of patent application
2. Publication of application (after 18 months or early publication)
3. Request for examination
4. Examination by Patent Office
5. Objections and response
6. Grant of patent
7. Publication of grant

Rights of a Patentee

A patentee has the exclusive right to:

- Make, use, sell, and distribute the invention
- License or assign the patent
- Sue for **infringement**
- Prevent others from unauthorized use

Term of Patent

- **20 years** from the filing date
- Applicable to all types of patents under TRIPS

Patent Infringement

Patent infringement occurs when a third party:

- Makes or uses the patented invention
- Sells or imports the invention without permission

Types:

- Direct infringement
- Indirect infringement

Remedies:

- Injunction
- Damages or account of profits
- Seizure or destruction of infringing goods

Justification of Patent System (Theoretical Basis)

The foundation of patent law is supported by the following theories:

(a) Reward Theory

- Inventors deserve reward for their effort and creativity

(b) Incentive Theory

- Exclusive rights motivate further research and innovation

(c) Disclosure Theory

- Public disclosure spreads technical knowledge

(d) Economic Growth Theory

- Patents stimulate industrial and technological development

Exceptions and Limitations

- Government use
- Research and experimental use
- Parallel import
- Bolar exemption (for pharmaceutical research)

Compulsory Licensing

Granted when:

- Reasonable requirements of the public are not met
- Patent is not worked in India
- Product is not available at an affordable price

Assignment and Licensing

- **Assignment**: Transfer of ownership
- **License**: Permission to use without transfer of ownership
  - Voluntary license
  - Compulsory license

Revocation of Patent

A patent may be revoked if:

- It lacks novelty or inventive step
- It was obtained fraudulently
- It falls under non-patentable subject matter

Importance of Patent Law

- Protects inventors' rights
- Encourages research and development
- Attracts foreign investment
- Promotes technology transfer
- Supports fair competition

Foundation of patent law

1. Philosophical Foundations of Patent Law

(a) Natural Rights Theory

•An inventor has a **natural right** over the product of their intellectual labor.

•Patent law recognizes and protects this moral entitlement.

(b) Reward Theory

•Society rewards inventors for their **effort, skill, and creativity**.

•The patent acts as an incentive for innovation.

(c) Incentive Theory

•Without protection, inventors may not invest time or money in R&D.

•Patents **encourage innovation** by offering temporary monopoly.

(d) Disclosure Theory (Social Contract)

•Inventor discloses the invention to society.

•In return, society grants exclusive rights for a limited period.

•After expiry, the invention enters the **public domain**.

2. Legal Foundations of Patent Law

Patent law balances **private rights** and **public interest**.

Key Legal Principles:

- Patents are **negative rights** (right to exclude others).
- Rights are **time-bound** and **territorial**.
- Subject to **limitations and exceptions** (e.g., compulsory licensing).

3. International Foundations of Patent Law

Patent systems are harmonized through:

- **Paris Convention**
- **TRIPS Agreement (WTO)**
- **Patent Cooperation Treaty (PCT)**

These ensure:

- Minimum standards of protection
- National treatment
- Global filing mechanisms

Trade-Related Aspects of Intellectual Property Rights----TRIPS

Patent Searching Process

Purpose of Patent Searching

Patent searching is done to:

- Check **novelty** of an invention
- Assess **inventive step (non-obviousness)**
- Avoid **patent infringement**
- Understand the **state of the art**
- Support **R&D, licensing, and technology transfer**

Types of Patent Searches

Depending on the objective, patent searches are classified as:

(a) Novelty / Patentability Search

•Conducted **before filing a patent application**

•Identifies prior art that may affect novelty or inventive step

(b) Freedom-to-Operate (FTO) Search

•Determines whether a product/process can be **commercialized without infringing existing patents**

•Focuses on **granted and active patents**

(c) State-of-the-Art Search

•Broad search to understand **technological developments**

•Used for research and academic purposes

(d) Validity / Opposition Search

•Used to **challenge an existing patent**

•Searches for strong prior art

(e) Legal Status Search

•Checks whether a patent is **active, expired, lapsed, or abandoned**

Steps in the Patent Searching Process

Step 1: Understanding the Invention

- Clearly define:
  - Technical field
  - Problem addressed
  - Novel features
  - Advantages over existing solutions
- Break the invention into **essential technical elements**

Step 2: Identifying Keywords and Synonyms

- Extract **keywords** related to:
  - Product
  - Function
  - Structure
  - Material
  - Application
- Identify **synonyms, technical terms, and alternative spellings**

Example:

For “solar-powered water purifier”:

- Solar energy, photovoltaic
- Water treatment, purification
- Filtration, disinfection

Step 3: Identifying Patent Classification Codes

Patent documents are classified using standardized systems:

- **IPC (International Patent Classification)**
- **CPC (Cooperative Patent Classification)**

Advantages:

- Overcomes language barriers
- Improves accuracy
- Reduces irrelevant results

Step 4: Selecting Patent Databases

Commonly used patent databases include:

- **Google Patents** – user-friendly, global coverage
- **Espacenet (EPO)** – strong classification search
- **WIPO PATENTSCOPE** – international (PCT) applications
- **USPTO** – US patents
- **IP India Patent Search** – Indian patents

Multiple databases are often used for comprehensive coverage.

Step 5: Conducting the Search

Search strategies include:

- Keyword search (title, abstract, claims)
- Classification-based search
- Applicant/Inventor-based search
- Combination of keywords + classification

Boolean operators are used:

- **AND** – narrows search
- **OR** – broadens search
- **NOT** – excludes terms

Step 6: Screening and Filtering Results

- Remove irrelevant documents
- Focus on:
  - Closely related technologies
  - Similar technical features
- Filter by:
  - Publication date
  - Jurisdiction
  - Legal status

Step 7: Analyzing Patent Documents

Key sections analyzed:

- **Abstract** – quick overview
- **Claims** – legal scope (most important)
- **Description** – technical details
- **Drawings** – understanding structure

Compare prior art with the invention to identify:

- Identical features (affects novelty)
- Obvious modifications (affects inventive step)

Step 8: Legal Status Analysis

- Check whether patents are:
  - Granted or pending
  - Expired or lapsed
  - Active in specific countries
- Important for commercialization decisions

Step 9: Documentation and Reporting

- Record:
  - Search strategy
  - Databases used
  - Keywords and classifications
  - Relevant prior art
- Prepare a **search report** summarizing findings and conclusions

Challenges in Patent Searching

- Complex technical language
- Broad or vague claims
- Different terminology for same invention
- Time-consuming process

Importance of Patent Searching

- Prevents duplication of research
- Saves time and cost
- Improves quality of patent applications
- Reduces infringement risk
- Supports innovation and strategic decision-making

Ownership Rights

- **Ownership** refers to the **legal right of a person or entity to possess, use, control, and dispose of property**.
- The property may be **tangible** (land, goods) or **intangible** (patents, copyrights, trademarks).

Main Rights of an Owner

An owner generally enjoys the following rights:

1.Right to Possession

The owner has the right to hold and occupy the property.

2.Right to Use and Enjoy

The owner can use the property in any lawful manner and enjoy its benefits (e.g., income, profits).

3.Right to Exclude Others

The owner can prevent others from using or accessing the property without permission.

4.Right to Transfer or Alienate

The owner can transfer ownership to another person through sale, gift, inheritance, or license (in IPR).

5.Right to Destroy or Modify

Subject to law, the owner may alter or destroy the property.

Transfer in Intellectual Property Rights (IPR)

Since your recent questions involve **patent law and IPR**, this distinction is important:

Assignment

- Complete or partial **transfer of ownership**
- Assignee becomes the new owner
- Must be **in writing and registered** (for patents)

License

- Permission to use the IP
- Ownership **remains with the original owner**
- Can be exclusive or non-exclusive

Conditions for Valid Transfer

For a transfer to be legally valid:

- The transferor must be the **lawful owner**
- The property must be **transferable**
- Transfer must comply with **legal formalities**
- Consent of parties must be **free and lawful**

Difference

Ownership	Transfer
Bundle of legal rights	Process of passing those rights
Exists with the owner	Occurs through legal acts
Can be limited by law	Must follow legal procedure

What is Patent Law?

Patent law is a branch of **intellectual property law** that grants an inventor a **legal right (patent)** to exclude others from **making, using, selling, or importing** an invention for a **limited period**, in exchange for **public disclosure** of the invention.

What is a Patent?

A **patent** is a **statutory right** granted by the government for an invention that is:

- **New**
- **Useful**
- **Non-obvious**

⏳ **Term of a patent**:

- **20 years** from the filing date (most countries, including India)

Objectives of Patent Law

Patent law aims to:

1. **Encourage innovation** and research
2. **Reward inventors** for their effort and investment
3. **Promote disclosure** of technical knowledge
4. **Balance private rights and public interest**
5. Support **economic and technological development**

What Can Be Patented?

An **invention** may be:

- A **product** (e.g., a machine, device, chemical compound)
- A **process** (e.g., method of manufacturing, industrial process)

Examples:

- New drug formulation
- Improved engine design
- Novel manufacturing process

Patentability Requirements (Core Conditions)

1. Novelty

•The invention must be **new**

•It should **not be disclosed** anywhere in the world before filing

(known as *prior art*)

2. Inventive Step / Non-Obviousness

•The invention should **not be obvious** to a person skilled in the relevant field

3. Industrial Applicability (Utility)

•The invention must be **capable of being made or used in an industry**

What Cannot Be Patented? (Typical Exclusions)

Though rules vary by country, commonly excluded items include:

- Discoveries of natural substances
- Abstract ideas or mathematical methods
- Business methods
- Scientific theories
- Methods of medical treatment
- Traditional knowledge

(In India, these are listed under **Section 3 of the Patents Act, 1970**.)

Rights of a Patentee

A patent holder has the right to:

- Make and use the invention
- Sell or license the invention
- Prevent unauthorized use by others
- Take legal action against infringement

⚠️ A patent **does not give the right to use**—it gives the **right to exclude others**.

Patent Application Process (Brief Overview)

1. Filing of patent application
2. Publication of application
3. Examination by patent office
4. Objections (if any) and response
5. Grant of patent

Patent Infringement

Patent infringement occurs when someone uses a patented invention **without permission** during the patent term.

Remedies include:

- Injunction
- Damages or compensation
- Account of profits

Patent Law in India (Quick Note)

- Governed by the **Patents Act, 1970**
- Administered by the **Indian Patent Office**
- Complies with **TRIPS Agreement**

Importance of Patent Law

- Protects inventors
- Encourages R&D
- Attracts investment
- Promotes technology transfer
- Contributes to national growth

Intellectual Property Audit

Meaning of Intellectual Property Audit

An **Intellectual Property (IP) Audit** is a **systematic review, identification, evaluation, and management** of all intellectual property assets owned, used, or acquired by an organization.

It helps an organization:

- Understand **what IP it owns or uses**
- Assess the **legal status and commercial value** of those IP assets
- Identify **risks, gaps, and opportunities**
- Ensure IP assets are **properly protected and exploited**

In simple terms, an IP audit answers:

What IP do we have? Who owns it? How valuable is it? Are we protecting and using it properly?

Objectives of an IP Audit

The main objectives include:

- Identifying all **existing and potential IP assets**
- Verifying **ownership and validity** of IP rights
- Assessing **commercial value** and revenue potential
- Detecting **infringement risks** or legal weaknesses
- Ensuring compliance with **IP laws and contracts**
- Supporting **business strategy, licensing, or mergers**
- Strengthening **IP management and protection strategies**

Scope of an IP Audit

An IP audit typically covers:

- **Patents** (granted and pending)
- **Trademarks** (registered and unregistered)
- **Copyrights**
- **Industrial designs**
- **Trade secrets and confidential information**
- **Domain names**
- **Software and databases**
- **Licenses and IP-related contracts**
- **Employee and consultant IP agreements**

Types of IP Audits

(a) General IP Audit

- Conducted periodically as part of normal business operations
- Reviews overall IP portfolio
- Helps improve long-term IP management

(b) Event-Driven IP Audit

- Conducted during specific events such as:
  - Mergers and acquisitions
  - Joint ventures
  - Technology transfer
  - Fundraising or IPO
- Focuses on IP critical to the transaction

(c) Limited or Focused IP Audit

- Concentrates on a **specific IP asset or issue**
- Example: trademark audit for brand expansion, patent audit before licensing

Steps Involved in Conducting an IP Audit

Step 1: Planning and Preparation

- Define audit objectives and scope
- Form an IP audit team (legal, technical, financial experts)
- Collect relevant documents and records

Step 2: Identification of IP Assets

- List all IP assets owned, licensed, or used
- Include registered and unregistered rights
- Identify IP created by employees, consultants, or partners

Step 3: Ownership and Legal Status Review

- Verify ownership documents and assignments
- Check registration status and renewal deadlines
- Examine employee IP agreements
- Review licensing and confidentiality agreements

Step 4: Evaluation and Valuation

- Assess economic value of IP assets
- Identify commercially significant IP
- Evaluate market relevance and competitive advantage

Step 5: Risk Assessment

- Identify infringement risks
- Detect gaps in protection
- Assess exposure to third-party claims
- Evaluate compliance with IP laws

Step 6: Recommendations and Reporting

- Prepare an audit report
- Suggest corrective actions
- Recommend IP protection, licensing, or enforcement strategies

Importance of IP Audits

- Enhances **strategic decision-making**
- Prevents **loss or misuse of IP**
- Improves **IP commercialization and monetization**
- Reduces **legal and financial risks**
- Strengthens **competitive advantage**
- Supports **investor confidence**

IP Audit in the Indian Context

In India, IP audits are important due to:

- Increasing **innovation-driven economy**
- Strict compliance under **Patents Act, Trade Marks Act, Copyright Act**
- Growth of **startups, MSMEs, and R&D institutions**
- Government emphasis on **IP awareness and commercialization**

Outcomes of an IP Audit

After an IP audit, an organization can:

- Create an accurate **IP inventory**
- Strengthen IP protection
- Exploit IP commercially
- Avoid infringement and litigation
- Align IP strategy with business goals

The
End

Wish You
All the Best